

**INTRODUCTION
TO
ENTREPRENEURSHIP
(ENT 216)**

LECTURE NOTE

NOT FOR SALE

Business opportunity

In entrepreneurship, a business opportunity is a situation where an entrepreneur identifies a gap or need in the market and develops a solution to exploit it, potentially leading to a successful venture. A business opportunity refers to a situation where a person or organization identifies a need or demand in the market that can be met through a new business venture or expansion of an existing one. Opportunities for a business involve a specific product, service, or niche that has the potential for profit. Which include new Market opportunity, distributorship, competitive opportunity, Marketing opportunity, Licensing, niche opportunity, Business opportunity from home.

1. Gather raw material
2. Digest raw material mentally
3. Unconscious Processing
4. The A-Ha moment
5. Ideas meet reality

1. Gather raw material

Gathering raw material is to use a scrapbook, especially for the general material gathering. Journaling these general raw materials – without concern for formatting, structure, or organization – is key. Young initially had no concept of how this would fit strategically into a purpose. He simply had been habituated into journaling his thoughts on a regular basis, no matter how seemingly insignificant or irrelevant they were.

2. Digest the material mentally

Once you've done your due diligence with the first step, the second step involves mentally digesting the raw materials you have gathered. This stage of the process "is harder to describe in concrete terms because it goes entirely on inside your head." During this step, you're looking to synthesize the seemingly unrelated and random bits of information in order to find a meaning of some sort.

3. Unconscious processing

Webb also emphasizes the significance of this phase despite the fact that it isn't actionable in nature. At some point, you'll become completely hopeless and dejected and begin to feel about as useful as a discarded Styrofoam take-out container. That's

the signal that you've done all you can to find that new combination or new ideas. This is the stage that I'd call "let it go." The point of getting outside of your own head during this process is to decompress and move on to other tasks at hand while you allow your thoughts to synthesize and incubate. Based on my experience, this stage is essential, even though it's a little messy and disorganized.

I found this stage vital for the writing of my second book, *Effective Sales Enablement*. I interviewed a lot of sales professionals, marketers and sales enablement managers, all of which had different experiences, different approaches, and different backgrounds. The information I gathered from them was raw. I needed to synthesize, find commonalities and structure their approaches in a logical way. I needed to present this so that readers would be able to understand. While I was trying to structure the materials, I got lost and frustrated several times. I had to walk away and not to think about them for several days. This stage of the ideation process is about taking time to internalize the material.

4. The Eureka Moment

The stage of active simmering. It's hard to say how long this stage will take, make a conscious effort to "think" and "rethink" the ideas to foster the incubation. The Eureka moment always came when floating between the unconscious and active thinking stages. The active thinking part is critical even when you reach an impasse on a client project and don't have a good idea on how to proceed. To get past it, gather all the information, make an effort to connect the dots, walk away for a while, then came back to proactively think it all through. Viola! Something always come up when I follow the process.

BUSINESS PLAN

A business plan is a formal, written document outlining a business's goals, strategies, and how it plans to achieve them, including market analysis, financial projections, and management structure.

Here's a more detailed breakdown of the concept: of a Business Plan:

- **Executive Summary:**
A concise overview of the entire business plan, highlighting the key aspects and goals.
- **Company Description:**
Details about the business, its mission, vision, and values.
- **Market Analysis:**

Research and analysis of the target market, including size, trends, and customer needs.

- **Products and Services:** A description of the products or services offered, their features, and benefits.
- **Marketing and Sales Strategy:** How the business plans to reach and attract customers, including marketing channels and sales processes.
- **Financial Projections:** Projected financial statements, including income statements, balance sheets, and cash flow statements.
- **Management Team:** Information about the key personnel and their experience.
- **Operations Plan:** How the business will be run on a day-to-day basis, including production, logistics, and customer service.
- **Appendix:** Supporting documents, such as resumes of key personnel or market research data.

Purpose of a Business Plan:

- **Planning and Strategy:** A business plan forces entrepreneurs to think through all aspects of their business, develop a clear strategy, and set realistic goals.
- **Fundraising:** A well-structured business plan can be used to attract investors and secure funding for the business.

Management and Monitoring:

A business plan serves as a roadmap for managing the business and monitoring its progress towards achieving its goals.

Communication:

A business plan can be used to communicate the business concept and strategy to stakeholders, including employees, customers, and

Product selection criteria

When selecting products, businesses should consider market needs, growth strategy alignment, potential market size, legal and market barriers, product performance, and profitability.

Here's a more detailed breakdown of key product selection criteria:

1. Market Needs & Trends:

Understanding Customer Needs: Identify what problems your target audience is facing and what solutions they are seeking.

Market Research: Conduct thorough research to understand demographics, consumer personality types, market trends, and location.

Competitive Analysis: Analyze the existing competition and identify gaps in the market.

2. Business Strategy Alignment:

Growth Strategy: Ensure the product aligns with your overall business growth strategy.

Competitive Advantage: Select products that provide a competitive edge or fill gaps in your product portfolio.

3. Product Viability & Performance:

Product Performance: Consider the product's functionality, usability, and overall performance.

Product Availability: Ensure the product is readily available and can meet customer demand.

Product Quality: Prioritize products that meet high quality standards.

Product Viability: Evaluate the product's potential profitability and market viability.

4. Financial Considerations:

Profitability: Assess the potential for profitability, ensuring the product generates sufficient revenue to cover costs.

Cost: Evaluate the cost of acquiring, storing, and distributing the product.

Investment: Determine the required investment for product development, marketing, and distribution.

5. Legal and Regulatory Factors:

Legal Barriers:

Understand and comply with relevant regulations and legal requirements for importing, selling, and distributing the product.

Government Policies:

Be aware of government policies and regulations that may impact the product or industry.

FEATURES OF CAMA 1990

Incorporation of Companies: CAMA 1990 provides the framework for forming and managing companies in Nigeria, including setting the stage for corporate governance.

Registration of Business Names: The Act also covers the registration of business names.

Incorporation of Trustees: It addresses the incorporation of trustees for certain communities, bodies, and associations.

Corporate Affairs Commission (CAC): The CAC is responsible for administering the Act and overseeing the registration and regulation of companies.

II. Key Provisions:

Types of Companies: CAMA 1990 defines different types of companies, including private companies limited by shares, public companies, and companies limited by guarantee.

Memorandum and Articles of Association: The Act outlines the requirements for the memorandum and articles of association, which are the foundational documents for a company.

Share Capital: It deals with the issue of share capital, including the minimum share capital requirements and the rights of shareholders.

Directors and Company Secretaries: CAMA 1990 addresses the appointment, powers, and duties of directors and company secretaries.

Annual General Meetings (AGMs): The Act mandates that companies hold annual general meetings.

Auditing and Financial Reporting: It sets out the requirements for auditing and financial reporting by companies.

Winding Up: CAMA 1990 provides for the winding up (liquidation) of companies.

LEGAL STRUCTURE OF A BUSINESS

1. The sole proprietorship
2. The partnership
3. Private limited liability companies
4. Public liability companies

Sole proprietorship; is commonly known as one-man business, the firm is own and controlled by one person. This kind of business organization is common in retailing and service business e.g barbing; tailoring carpentry etc

MERIT OF SOLE PROPRIETORSHIP

The followings are the advantages of one- man business;
Personal interest of the owner enhances efficiency

- a. Decision making is quicker since the owner does not need to consult anybody
- b. He enjoyed profit from the business alone.
- c. It is easy to setup and organize.
- d. The sole proprietor can have more than one occupation
- e. Privacy
- f. Personal contact with his employees

DEMERIT OF SOLE PROPRIETORSHIP

- a. There is limited capital for expansion purpose
- b. The sole proprietor has unlimited liability as personal assets can be sold in case of business failure
- c. The business is not a separate legal entity.
- d. Lack of certainty of continuity because the death of the owner can result in the death the of business
- e. Lack of specialization because of involvement in too many business activities.

PARTNERSHIP BUSINESS

Partnership business is that business that can be form by two to twenty partners. This business is regulated by document known as Deed of partnership to be drawn by a solicitor.

DEED OF PARTNERSHIP

The deed of partnership contains the followings;

- a. Name of the business
- b. Nature of the business to be under taken
- c. The amount of capital to be contributed by each partner
- d. Profit sharing formula
- e. The procedure of termination of that business
- f. The method of admitting new partner
- g. The duration of the partnership
- h. Withdrawal from partnership
- i. Dissolution of partnership
- j. The management of the partnership on the death or withdrawal of a partner

TYPES OF PARTNERSHIP

1. Active or general partner; this is the most dominating partner that participate in the management of the day to day affairs of the organization
2. Nominal or Quasi partner; this is the partner whose name is used in the business and does not participate in the running of the organization including the sharing of the profit that may likely accrue to the organization
3. Special partner; he is partner that is limited by virtue of the organization and the death of or bankruptcy of this partner.
4. Sleeping partner; is partner that does not participate in the management of the organization. But he will contribute to the capital and partake in the sharing of profit
5. Secrete partner; is the partner that has full membership and general public are not aware of his membership.
6. Silent partner; this is the reverse of the secret partner. The general public are aware of his existence and does not participate in the management of the organization despite the fact that the contribute capital and take part in the sharing of the profit.

Advantages of Partnership Business

1. More capital: the partnership business has more capital than a sole proprietorship business. But at capital disadvantages when compared to joint stock company

2. Wise decision: two goods heads are better than one. This symbolically makes this form of business to be identified with wise decision as a result of team work when solving organizational problems
3. Specialization and division of labour: there is room for specialization and division of labour among partners as a result of their prior knowledge in the business
4. Privacy: the partnership business like the sole proprietorship business is not under any legal obligation to publish its account as of a limited liability companies
5. Personal relationship with customers and workers: this level of relationship makes it possible to determine the customer that are creditworthy and it also fortifies the working relationship between the partners and their workers
6. Sharing of business risk: this form of business enterprise is establishing with the aim of sharing the risk that may likely come up in the course of running the partnership business

Disadvantages of Partnership Business

1. Death: the death of a partner especially the active partner symbolically marks the end of a partnership business
2. Unlimited liability: the liabilities of the partners are not limited to the amount they contribute to the business alone, but are extended to their personal belonging in order to settle outstanding liabilities in the even the business is bankrupt
3. Collective responsibility: the partners are collectively responsible for any decision or agreement reached by a partner on their behalf by virtue of the contractual agreement existing among them
4. There is room for distrust and quarrel: for instance, where one of the partners is suspicious of the activities of the remaining partner will definitely breed the seed of distrust and quarrel among the partner, which may lead to the closure and termination of the partnership business
5. Slow decision-making process: since all the partners need to be consulted before taking any reasonable decision regarding the business

JOINT STOCK COMPANIES (LIMITED LIABILITY COMPANY)

A business organization is said to be incorporated in Nigeria when it is duly registered with the registrar of companies in the federal ministry of trade through the corporate affairs commission (CAC). The limited liability company is guided by document known as the memorandum and article of association

Memorandum of association

This is the document that's shows the relationship that exist between the organization and the general public. The document contains the following:

1. The name of the company
2. The location of the register office

3. The nature of the business
4. The restriction where possible
5. That the company is private or public
6. That the liability of the members is limited by either shares or guarantee or unlimited
7. The amount of the authorized share capital

Private limited liability Company

This company has the minimum numbers of two persons and maximum number of fifty persons excluding the employee the company must always state in its article. The description of the right to transfer share limitation of membership to fifty and limitation of the company to offer share and debenture to the public for subscription.

Public limited liability Company

This company also has the minimum of seven persons with no maximum limit and the company must state in its memorandum of association that, it is a public company. When a company is a public company in nature, the transfer of share is not restricted. Name of the company is usually abbreviated as "plc" for instance Nigerian bottling company (N.B.C.) zenith bank plc. Etc.

Advantages of Limited Liability Company

1. Large capital: this type of company is given the opportunity to raise capital as compared to partnership and sole proprietorship. The company especially the public limited company can comfortably raise capital by issuing shares to the general public to subscribe in the stock exchange market
2. Legal entity: when a company is fully incorporated it is seen as a legal personality before the law. This signifies that the company can sue and be sued in the court of law whenever it deemed necessary
3. Diversification of risk: under this form of business risk is shared among the shareholders as opposed to the proprietorship business where one man shoulders the risk
4. Limited liability: the liability of shareholders in this form of business is restricted to the amount of capital invested and the unpaid part of the capital allotted to them unlike the partnership and sole proprietorship business where the liability extends to their personal belonging in the event their business is liquidated
5. Continuity of business: the death of a shareholder does not put a stop to the business as the case of other form of business
6. Employees may also become co-owners: this form of company creates avenue for employees to become co-owners by buying shares in the company

Disadvantages of Limited Liability Company.

1. It is very difficult to establish the formation of company has been identified with a chain of procedures, which makes it costlier and time consuming as opposed to sole proprietorship business.
2. Lack of privacy: the limited liability companies are by virtue of their formation under legal obligation to publish her accounts for public scrutiny
3. Lack of cordial relationship between workers and employees or customers: the size of the company does not warrant a sound relationship between the employees (workers) and employers or customers
4. High tax payment: the limited liability companies are prone to high tax rate when compared to sole proprietorship and partnership business
5. Slow decision process: there is normally a laid down protocol for any decision or policy in a company. This protocol makes decision making slow
6. Large capital: the formation of a company requires a large amount of capital in order to operate fully. For instance, millions of rupees is needed to establish a company and some few thousands for sole proprietorship and partnerships business.

FUNCTIONS OF CORPORATE AFFAIRS COMMISSION

The functions Commission as set out in section 7 of the Companies and Allied Matters Act, includes the following:

- To administer the Act, including the regulation and supervision of the formation, incorporation, management and winding up of companies
- To establish and maintain companies' registry and offices in all the states of the Federation suitably and adequately equipped to discharge its functions under the Act or any law in respect of which it is charged with responsibility
- Arrange and conduct an investigation into the affairs of any company where the interests of the shareholders and the public so demand
- To undertake such other activities as are necessary or expedient for giving full effect to the provisions of the Act.
- The Commission also registers Business Names, and Incorporated Trustees as well as provides a wide range of ancillary services

Procedure and Requirement of Registration of a Business Name

Here's a more detailed breakdown of the process and requirements:

1. Check for Name Availability and Reserve the Name:

Name Search:

Before registering, ensure the proposed business name is not already in use by checking the Corporate Affairs Commission (CAC) website.

Name Reservation:

If the name is available, reserve it through the Corporate Affairs Commission (CAC) website.

2. Complete the Pre-Registration Form:**Online Form:**

Access the online pre-registration form on the Corporate Affairs Commission (CAC) website.

Required Information:

Provide details about the business, including the proposed name, registered address, contact information, and details of the proprietor(s) or partners.

3. Upload Required Documents:**Proprietor/Partner Details:**

Upload passport photographs and valid identification documents (e.g., international passport, voter's card, driver's license, NIN) of the proprietor(s) or partners.

Other Documents:

You may also need to upload a partnership deed, if applicable, or other documents as required by the CAC.

4. Pay the Filing Fee:

Online Payment: Pay the required filing fee through the Corporate Affairs Commission (CAC) website using the Remita platform.

5. Submit the Application:

Online Submission: Submit the completed pre-registration form and uploaded documents online through the Corporate Affairs Commission (CAC) website.

6. Await Approval and Certificate of Registration:

CAC Processing: The CAC will review your application and documents.

Certificate: Upon approval, you will receive a certificate of registration, which includes a unique business name number.

Q5. (a) Here's a more detailed breakdown of some key agencies and the types of licenses/permits they issue:

Federal Agencies:

Corporate Affairs Commission (CAC): Responsible for the registration of businesses, including companies, business names, and NGOs. **Federal Inland**

Revenue Service (FIRS): Issues tax clearance certificates, which are required for various business operations.

Central Bank of Nigeria (CBN): Issues licenses to financial institutions, including banks and fintech companies.

National Agency for Food and Drug Administration and Control (NAFDAC): Issues licenses and permits related to food, drugs, and cosmetics.

Nigerian Communications Commission (NCC): Issues licenses for telecommunications services.

Nigerian Electricity Regulatory Commission (NERC): Regulates and issues licenses for the electricity sector.

Nigerian Civil Aviation Authority (NCAA): Issues licenses for aviation-related activities.

Federal Road Safety Corps (FRSC): Oversees road transport licenses and permits.

Nigerian Institute of Standards and Industrial Quality (NIS): Issues Importation Licenses.

Nigerian Environmental Protection Agency (NESREA): Issues permits for environmental compliance.

National Pension Commission (PENCOM): Regulates the pension industry.

Medical and Dental Council of Nigeria (MDCN): Regulates medical and dental professionals.

Pharmacists Council of Nigeria (PCN): Regulates pharmacists and pharmacies.

Consumer Protection Council (CPC): Protects consumer rights.

National Office for Technology Acquisition and Promotion (NOTAP): Facilitates the acquisition and promotion of technology.

National Investment Promotion Commission (NIPC): Promotes and facilitates investment in Nigeria.

Ministry of Interior: Issues business permits. State and Local Government Agencies:

- **State Transport Authorities (STA):** Issue licenses for intra-state transport operators.
- **Local Government Authorities:** Issue permits for specific activities within their jurisdiction such as hackney permits for commercial vehicles.

MANAGEMENT AND ITS FUNCTIONS

Nwoso (1996) sees management as that art and science of using available resources such as man, money, material and machine to achieve organizational goals.

Jones and George (2005) define management as planning, organizing, leading and controlling of human and other resources to achieve organizational goals effectively and efficiently.

Stoner (1978) concluded that management is the act of getting things done through and with people.

1. Planning
2. Organizing
3. Directing or leading
4. Controlling

1. The planning function- Planning as a basic function provides answers to questions: **What, how, when and where** to organizational managers.

What: What are the goals and objectives to be achieved, the resources acquired are allocated and how are actions going to be mapped out and implemented.

When: Within which time frame are there to be carried out.

Where: The exact place whether local, national or international. The key element of any plan include objectives, action, resources and implementation.

2. Organizing Function- To Henry Fayol, to organize a business is to provide with everything useful to its functioning, which is materials tools, capitals and personnel.

Organizing is the process of dividing work into convenient tasks or duties,

3. Direct Function- Direct function is energizing subordinates to contribute their best individually and cooperation with other people. This involves clearly communicating organizing goals, inspiring employees, providing an example for others to follow, guiding people and creating conditions that encourage people from diverse backgrounds to work well together to achieve maximum success

4. **Controlling function:** Controlling is the measurement and correction of the performance of subordinate to make sure that the objectives of enterprise and the plan mapped out and attain them are accomplished efficiently and effectively. Controlling require some logical steps to be taken, these steps

PROCEDURE AND REQUIREMENT FOR INCORPORATING A BUSINESS

To incorporate a business in Nigeria, you need to choose a unique name, reserve it with the Corporate Affairs Commission (CAC), complete pre-registration forms, pay fees, and submit required documents online.

Here's a more detailed breakdown of the process:

1. Choose a Business Name and Reserve It:

Unique Name: Select a business name that is not already registered and ensure it is not similar to an existing one.

Name Reservation: Search for the availability of your chosen name on the CAC portal and reserve it.

2. Prepare Incorporation Documents:

Memorandum and Articles of Association: Prepare these documents outlining the company's purpose, structure, and rules.

Application Form (CAC 1.1): Complete the application form for registration, including details like the company's address, authorized share capital, and directors' particulars.

Other Required Documents: Gather necessary documents such as passport photos, identification documents of directors and shareholders, and resolutions (if applicable).

3. Complete Pre-Registration and Upload Documents:

Pre-Registration Form: Fill out the pre-registration form on the Company Registration Portal (CRP).

Upload Documents: Upload all required documents to the CRP.

4. Pay Fees and Submit Application:

Filing and Stamp Duty Fees: Pay the prescribed fees for filing and stamp duty.

Submit Application: Submit the completed registration application online through the CRP.

5. Obtain Certificate and Incorporation Documents:

Approval and Download: Once the registration is approved, download the electronic certificate of registration and other incorporation documents from the CRP.

SWOT ANALYSIS

SWOT (strengths, weaknesses, opportunities, and threats) analysis is a framework used to evaluate a company's competitive position and to develop strategic planning. SWOT analysis assesses internal and external factors, as well as current and future potential.

Strengths describe what an organization excels at and what separates it from the competition: a strong brand, loyal customer base, a strong balance sheet, unique technology, and so on. For example, a hedge fund may have developed a proprietary trading strategy that returns market-beating results. It must then decide how to use those results to attract new investors.

Weaknesses stop an organization from performing at its optimum level. They are areas where the business needs to improve to remain competitive: a weak brand, higher-than-average turnover, high levels of debt, an inadequate supply chain, or lack of capital.

Opportunities refer to favorable external factors that could give an organization a competitive advantage. For example, if a country cuts tariffs, a car manufacturer can export its cars into a new market, increasing sales and market share.

Threats refer to factors that have the potential to harm an organization. For example, a drought is a threat to a wheat-producing company, as it may destroy or reduce the crop yield. Other common threats include things like rising costs for materials, increasing competition, tight labor supply, and so on.

FEASIBILITY STUDY

To conduct a feasibility study, follow these key steps: preliminary analysis, market research, financial analysis, operational planning, risk assessment, and finally, a decision-making process.

Here's a more detailed breakdown of the steps:

1. Preliminary Analysis:

Define the Project: Clearly outline the project's scope, objectives, and purpose.

Initial Assessment: Conduct a quick overview to determine if the project is worth further investigation.

Stakeholder Identification: Identify all stakeholders and their interests.

2. Market Research:

- **Demand Analysis:** Assess the potential demand for the product or service.
- **Competitive Analysis:** Identify and analyze competitors.
- **Target Audience:** Define the target audience and their needs.
- **Market Trends:** Analyze current market trends and identify opportunities.

3. Financial Analysis:

- **Cost Estimation:** Estimate all costs associated with the project, including startup costs, operating costs, and potential expenses.
- **Revenue Projections:** Project potential revenue streams and sales forecasts.
- **Financial Modeling:** Develop financial models to assess the project's profitability and viability.
- **Funding Sources:** Identify potential funding sources and assess their availability.

4. Operational Planning:

- **Technical Feasibility:** Assess the technical requirements and resources needed to execute the project.
 - **Resource Planning:** Plan for necessary resources, including personnel, equipment, and infrastructure.
 - **Organizational Structure:** Determine the organizational structure and staffing requirements.
 - **Operational Processes:** Define the processes and procedures for project execution.
5. Risk Assessment:
- **Identify Potential Risks:** Identify potential risks and challenges that could impact the project.
 - **Risk Analysis:** Analyze the likelihood and impact of each risk.

- **Mitigation Strategies:** Develop strategies to mitigate or address identified risks.

6. Decision-Making:

- **Review and Analysis:** Review all gathered data and analyze the feasibility of the project.
- **Go/No-Go Decision:** Make a decision based on the feasibility analysis, either to proceed with the project or abandon it.
- **Documentation:** Document the entire process and findings for future reference.

FACTORS ASSOCIATED WITH PRODUCT SELECTION

1. Quality and Reliability:

One of the most critical factors to evaluate is the quality and reliability of the product or service. Assess its durability, performance, and the reputation of the brand or service provider. Look for certifications, customer reviews, and testimonials to gauge the level of quality and reliability offered. A reliable product or service will meet your expectations and have a longer lifespan, reducing the need for replacements or repairs.

2. Functionality and Features:

Consider the specific features and functionality offered by the product or service. Does it align with your needs and requirements? Evaluate whether it fulfills its intended purpose effectively and efficiently. For example, in the case of software, check if it has all the essential features you need, or in the case of a physical product, assess if it offers the desired functionality and convenience.

3. Pricing and Value for Money:

Carefully analyze the pricing structure and value-for-money proposition of the product or service. Compare prices across different providers or brands and ensure that you are getting a fair deal. However, remember that the cheapest option may not always be the best. Consider the overall value you will receive, including factors such as quality, performance, customer support, and any additional services or warranties provided.

4. Customer Support and After-Sales Service:

Prompt and effective customer support is vital when investing in a product or service. Research the reputation of the company for customer service and check for available support channels like phone, email, or live chat. Additionally, inquire about after-sales services such as warranty, maintenance, and repair options. A company that provides excellent customer support ensures that any issues or concerns you encounter will be promptly addressed.

5. Reputation and Reviews:

Consider the reputation and trustworthiness of the brand or service provider. Look for established companies with a positive track record and a history of delivering reliable, high-quality products or services. Assess their customer feedback, ratings, and any industry recognition they have received. A trustworthy company is more likely to deliver on its promises and provide a positive customer experience.

6. Compatibility and Integration:

If you are considering a product or service that needs to integrate with existing systems or equipment, compatibility becomes crucial. Verify if the product or service seamlessly integrates with your current infrastructure. Inquire about any technical requirements, compatibility issues, or potential conflicts that may arise during the integration process. Compatibility ensures a smooth transition and avoids unnecessary expenses.

7. Security and Privacy:

Security and privacy have become paramount concerns with the increasing reliance on technology. If you are purchasing a digital product or service, assess the security measures implemented to protect your data and ensure your privacy. Look for encryption, secure payment gateways, and data protection policies. Verify if the company adheres to industry standards and regulations to safeguard your sensitive information.